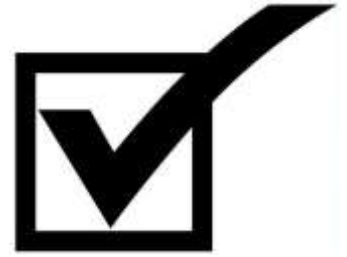




**BUSINESS
PROFESSIONALS
of AMERICA**
Giving Purpose to Potential



PAYROLL ACCOUNTING

(125)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (29 @ 1 points each) _____ (29 points)

Job 1 – FUTA Earnings (2 points each) _____ (22 points)

Job 2 – Payroll Journal Entry (22 @ 2 points each) _____ (44 points)

TOTAL POINTS _____ ***(125 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214.

Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all percentages to two decimal places unless otherwise indicated.
- Assume all employees earn overtime for any hours worked over 40 hours in a week unless otherwise instructed.
- All calculations regarding time should be rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice

1. B
2. D
3. B
4. D
5. C
6. A
7. A
8. D
9. D
10. A
11. B
12. C
13. B
14. B
15. C

Short Answer (29 @ 1pt each)

Trey works for a tire shop and is paid \$17.50 per hour for an 8-hr day or \$2.34 per tire changed, whichever is higher.

Minimum Daily Pay \$ 17.50 * 8 = \$ 140.00

Find the gross earnings for Trey whose output was as follows.

Day	Number of Tires Changed	Earnings per Output	Which rate should be paid?
Monday	60	<u>60</u> * \$ <u>2.37</u> = \$ <u>140.40</u>	Daily ☐ Output ☒
Tuesday	50	<u>8</u> * \$ <u>17.50</u> = \$ <u>140.00</u>	Daily ☒ Output ☐
Wednesday	55	<u>8</u> * \$ <u>17.50</u> = \$ <u>140.00</u>	Daily ☒ Output ☐
Thursday	62	<u>62</u> * \$ <u>2.34</u> = \$ <u>145.08</u>	Daily ☐ Output ☒
Friday	74	<u>74</u> * \$ <u>2.34</u> = \$ <u>173.16</u>	Daily ☐ Output ☒

Gross Earnings \$ 140.40 + \$ 140.00 + \$ 140.00 + \$ 145.08 + \$ 173.16 =
Gross Earnings \$ 738.64

Job 1 – Calculate FUTA Earnings and all other taxes (11 blanks @ 2pts each)

1		2	3	4	5
Employee Name		Prior Accumulated Earnings	Earnings to Equal FUTA Tax Base	Earnings for Current Pay Period	FUTA Earnings
Gonzales, Johnathan		\$6380.00	\$620.00	\$653.00	\$620.00
Hernandez, Brynlee		7,290.00	0.00	736.50	0.00
James, Donald		3,840.00	3,160.00	521.00	521.00
Martinez, Valeria		6,270.00	730.00	614.00	614.00
		TOTALS		\$2,524.50	\$1,755.00
Social Security Tax Payable 6.2%			\$156.52		
Medicare Tax Payable 1.45%			36.61		
Unemployment Tax Payable – Federal 0.8%			14.04		
Unemployment Tax Payable – State 5.4%			136.32		
Total Payroll Taxes			\$343.49		

Job 2 –Payroll Journal Entries (22 entries @ 2 points each)

According to a summary of the payroll of Simpson Company, \$450,000 was subject to the 6.2% social security tax and \$500,000, which is total wages, was subject to the 1.45% Medicare tax. Federal income tax withheld was \$98,000 and State income tax withheld was \$23,500. In addition, \$15,000 was subject to state (4.2%) and federal (0.8%) unemployment taxes.

Prepare the journal entries to record the payroll paid to employees for the period.

Accounts	Debit	Credit
Wages Expense	500,000.00	
Social Security Tax Payable		27,900.00
Medicare tax payable		7,250.00
Federal income tax payable		98,000.00
State income tax payable		23,500.00
Cash		343,350.00
Payroll Tax Expense	35,900.00	
Social Security Tax Payable		27,900.00
Medicare Tax Payable		7,250.00
SUTA tax payable		630.00
FUTA tax payable		120.00